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UNITED STATES BANKRUPTCY COURT
NORTHERN DISTRICT OF NEW YORK

In re: Sample Debtor Corp., (TIN: xx-xxx4321) Debtor.	Case No. 26-60000 Chapter 7
Example Trustee, as Chapter 7 Trustee of the estate of Sample Debtor Corp., Plaintiff, v. Example Lender Bank, N.A., Defendant.	Adv. Pro. No. 26-80000

ADVERSARY COMPLAINT

Plaintiff Example Trustee, as Chapter 7 trustee (the "Trustee") of the estate of Sample Debtor Corp. (the "Debtor"), by and through his counsel, Example Trustee Counsel PLLC, alleges as follows:

NATURE OF THE ACTION

1. This is an adversary proceeding under 11 U.S.C. § 523(a)(2)(A) to determine that a debt owed by the Debtor to Defendant Example Lender Bank, N.A. ("Defendant" or the "Bank") is excepted from discharge, and for related relief under 11 U.S.C. § 548 and § 550 to recover a transfer made by the Debtor within two years before the petition date.

2. The Trustee alleges that, in the months before the Debtor filed for relief, the Debtor's chief financial officer submitted a written financial statement to the Bank that overstated the Debtor's

receivables by a material amount, and that the Bank extended a credit facility in reliance on that statement. The Trustee further alleges that the Debtor repaid part of that facility out of the proceeds of its last remaining receivable, a transfer that the Debtor made with actual intent to hinder, delay, or defraud creditors.

3. The allegations below are made on information and belief where they concern the Bank's internal communications, which are not in the Trustee's possession.

THE PARTIES

4. The Trustee is the duly appointed and acting Chapter 7 trustee of the estate of the Debtor under 11 U.S.C. § 701 and the trustee in the above-captioned bankruptcy case, Case No. 26-60000 (the "Bankruptcy Case").

5. The Debtor is a New York corporation whose principal place of business was located at 500 Example Avenue, Schenectady, New York 12305 before the Debtor ceased operations.

6. Defendant is a national banking association with its main office at 1 Example Plaza, Syracuse, New York 13202. Defendant may be served through its officer for service of process as provided by Fed. R. Bankr. P. 7004(b)(3) and Fed. R. Civ. P. 4(h).

JURISDICTION AND VENUE

7. This Court has jurisdiction over this adversary proceeding under 28 U.S.C. § 1334(b) because it arises under title 11 or arises in or relates to the Bankruptcy Case.

8. This adversary proceeding is a core proceeding under 28 U.S.C. § 157(b)(2)(H) and (I) and (F), and the Trustee consents to the entry of final orders and judgment by the Bankruptcy Court, as required by Fed. R. Bankr. P. 7008(a).

9. Venue is proper in this District and Division under 28 U.S.C. § 1409(a) because the Bankruptcy Case is pending in this District, and this proceeding arises under and in the Bankruptcy Case.

10. This adversary proceeding is commenced under Fed. R. Bankr. P. 7001(1) (recovery of money or property) and 7001(6) (determination of dischargeability of a debt).

FACTUAL ALLEGATIONS

A. The Credit Facility

11. On or about March 3, 2025, the Debtor applied to the Bank for a revolving credit facility in the maximum principal amount of $1,500,000 (the "Facility") to finance inventory and payroll.

12. In connection with the application, the Debtor's chief financial officer, Morgan Sample (the "CFO"), signed and delivered to the Bank a written financial statement dated February 28, 2025 (the "Financial Statement").

13. The Financial Statement reported accounts receivable of $2,120,000 as of February 28, 2025. The Debtor's own accounts receivable aging report for that date, which was prepared by the Debtor's bookkeeper and kept on the Debtor's premises, reported accounts receivable of $1,140,000 as of the same date.

14. The difference between the two figures, $980,000, was attributable to invoices that the Debtor had already been told by its largest customer would not be paid.

15. The Financial Statement also stated that the Debtor had no pending or threatened litigation. That statement was not accurate on the date it was signed, because the Debtor had received a written demand letter from a supplier thirteen days earlier.

16. The Bank required the Financial Statement as a condition of the Facility and relied on the reported receivables to set the borrowing base.

17. On or about March 10, 2025, the Bank approved the Facility and advanced $900,000 to the Debtor.

B. The Debtor's Last Remaining Receivable

18. By August 2025, the Debtor's business had substantially ceased. The Debtor had no employees other than the CFO, and its only significant asset was a receivable of $410,000 owed by a government contractor (the "Receivable").

19. On or about September 4, 2025, the Receivable was paid in full to the Debtor's operating account (the "Collection").

20. Within three business days after the Collection, the Debtor transferred $385,000 to the Bank (the "Transfer") in partial repayment of the Facility.

21. At the time of the Transfer, the Debtor was insolvent. Its liabilities exceeded the fair value of its assets, and it was unable to pay its debts as they came due, including payroll taxes owed to the Internal Revenue Service.

22. The Debtor did not receive reasonably equivalent value for the Transfer. The Transfer reduced the amount available to pay the Debtor's other unsecured creditors, which the Trustee has identified and is still reconciling.

23. The Bank received the Transfer with knowledge that the Debtor was in financial distress. The Bank's loan officer had received a copy of the supplier's demand letter before the Collection and had told the CFO, in writing, that the Bank expected repayment from the Receivable.

C. The Bankruptcy Case

24. On October 2, 2025, the Debtor filed a voluntary petition under chapter 7 of the Bankruptcy Code in this Court.

25. The Trustee was appointed on October 6, 2025, and is the representative of the estate under 11 U.S.C. § 323.

26. The Trustee has demanded that the Bank return the Transfer. The Bank has not returned it.

D. The Supplier Action and the Bank's Knowledge

27. The supplier that sent the demand letter, Example Supply Co., Inc. ("Supplier"), commenced an action against the Debtor in the Supreme Court of the State of New York, County of Schenectady, on or about August 18, 2025, to recover $262,000 for goods delivered between January and June 2025.

28. The Supplier's complaint in that action was served on the Debtor's registered agent on August 22, 2025. The Debtor did not answer. The CFO received the summons and complaint and did not forward them to the Debtor's board of directors.

29. The Bank's loan officer, Pat Illustrative (the "Loan Officer"), was copied on correspondence from the Supplier's counsel dated August 20, 2025, which described the pending claim and requested that the Bank hold any remittance from the Receivable pending resolution.

30. After receiving that correspondence, the Loan Officer met with the CFO on August 25, 2025, and told him in writing that the Bank would apply the Collection to the Facility if it was received. The Bank did not inform the Supplier of the Collection or of the Transfer.

31. The Debtor's bookkeeper advised the CFO on or about August 29, 2025, that the Debtor could not meet its payroll taxes for the third quarter without the Collection. The CFO did not disclose that advice to the Bank.

E. The Trustee's Claim Against the Bank

32. The Trustee has standing to avoid the Transfer under 11 U.S.C. § 544(b) by reason of the rights of an actual creditor of the Debtor under New York Debtor and Creditor Law ("NYDCL") § 273 and § 276, as applicable.

33. Among the Debtor's creditors on the date of the Transfer were the Supplier, which held an unsecured claim of at least $262,000, and the Debtor's taxing authorities, which held priority and unsecured claims for unpaid payroll taxes.

34. Each of those creditors had a claim that arose before the Transfer and that remained unpaid when the Bankruptcy Case was commenced.

35. The Trustee has filed, or will file, proofs of claim on behalf of the estate and has reserved all rights as to the amounts of the claims against the Debtor's estate.

36. The Trustee has no adequate remedy at law other than the relief requested in this adversary proceeding, and the Bank has not offered to restore the Transfer voluntarily.

FIRST CLAIM FOR RELIEF

(Nondischargeability of Debt Under 11 U.S.C. § 523(a)(2)(A) and (a)(2)(B))

37. The Trustee repeats and realleges each allegation in the preceding paragraphs as if fully set forth here.

38. The Financial Statement was a statement in writing respecting the Debtor's financial condition, made with the CFO's authority, on which the Bank reasonably relied in extending the Facility.

39. The Financial Statement was materially false when made, because it overstated accounts receivable by $980,000 and omitted the pending demand letter.

40. The CFO knew the Financial Statement was false when he signed it, or made it with reckless disregard for its truth, and he intended the Bank to rely on it.

41. The Bank relied on the Financial Statement in advancing $900,000 under the Facility, and the Bank's reliance was reasonable in light of the Debtor's representations and the Bank's own pre-approval review.

42. The Bank was damaged by the advance, and any debt arising from the Facility, to the extent of the unpaid balance after the Transfer, is a debt for money obtained by false pretenses, a false representation, or actual fraud, and is excepted from discharge under 11 U.S.C. § 523(a)(2)(A) and (a)(2)(B).

SECOND CLAIM FOR RELIEF

(Avoidance of Actual Fraudulent Transfer Under 11 U.S.C. § 548(a)(1)(A))

43. The Trustee repeats and realleges each allegation in the preceding paragraphs as if fully set forth here.

44. The Transfer was made within two years before the petition date, on or about September 9, 2025.

45. The Transfer was made with actual intent to hinder, delay, or defraud the Debtor's creditors, within the meaning of 11 U.S.C. § 548(a)(1)(A). The badges of fraud present include: the transfer was to an insider's creditor in a period when the Debtor was insolvent; the Debtor had been sued or threatened with suit; the Debtor's business had substantially ceased; and the Transfer used the last substantial asset of the Debtor.

46. The Transfer is avoidable under 11 U.S.C. § 548(a)(1)(A) and may be recovered from the Bank under 11 U.S.C. § 550(a)(1).

THIRD CLAIM FOR RELIEF

(Recovery of Money Under 11 U.S.C. §§ 547 and 550, in the Alternative)

47. The Trustee repeats and realleges each allegation in the preceding paragraphs as if fully set forth here.

48. This claim is pleaded in the alternative to the Second Claim for Relief under Fed. R. Civ. P. 8(d)(2).

49. The Transfer was made to or for the benefit of the Bank, a creditor, on account of an antecedent debt, while the Debtor was insolvent, and within ninety days before the petition date, on or about September 9, 2025.

50. The Transfer enabled the Bank to receive more than it would have received in a chapter 7 case had the Transfer not been made, and it is avoidable under 11 U.S.C. § 547(b) to the extent the Bank has not shown an applicable defense under 11 U.S.C. § 547(c).

51. The Trustee is entitled to recover the Transfer, or its value, from the Bank under 11 U.S.C. § 550(a)(1), together with interest from the date of demand.

FOURTH CLAIM FOR RELIEF

(Avoidance of Constructively and Actually Fraudulent Transfer Under 11 U.S.C. § 544(b) and NYDCL §§ 273 and 276)

52. The Trustee repeats and realleges each allegation in the preceding paragraphs as if fully set forth here.

53. The Transfer was made by the Debtor without fair consideration, at a time when the Debtor was insolvent or was rendered insolvent by the Transfer, and at a time when the Debtor was engaged in business for which its remaining property was an unreasonably small capital.

54. The Transfer is avoidable under NYDCL § 273 (constructive fraud) and NYDCL § 276 (actual intent to defraud), which the Trustee may enforce under 11 U.S.C. § 544(b)(1) because at least one actual unsecured creditor could avoid the Transfer under applicable state law.

55. The Trustee is entitled to avoid the Transfer and to recover it, or its value, from the Bank under 11 U.S.C. § 550(a)(1).

FIFTH CLAIM FOR RELIEF

(Disallowance of Claims Under 11 U.S.C. § 502(d))

56. The Trustee repeats and realleges each allegation in the preceding paragraphs as if fully set forth here.

57. The Bank is an entity from which property is recoverable under 11 U.S.C. § 550, and the Bank is a transferee of the Transfer within the meaning of 11 U.S.C. § 550(a)(1).

58. The Bank has not paid the amount of the Transfer, and it has not turned the Transfer over to the Trustee.

59. Under 11 U.S.C. § 502(d), any claim held by the Bank against the Debtor or the estate must be disallowed unless and until the Bank pays the amount for which it is liable under 11 U.S.C. § 550.

PRAYER FOR RELIEF

60. WHEREFORE, the Trustee respectfully requests that the Court enter judgment in his favor and against Defendant as follows:

(a) determining that the debt owed by the Debtor to Defendant under the Facility, to the extent of the unpaid balance after the Transfer, is excepted from the Debtor's discharge under 11 U.S.C. § 523(a)(2)(A) and (a)(2)(B);

(b) avoiding the Transfer under 11 U.S.C. § 548(a)(1)(A) or, in the alternative, under 11 U.S.C. § 547(b);

(c) directing Defendant to pay to the Trustee the sum of $385,000, or such other amount as the Court determines, under 11 U.S.C. § 550(a), together with prejudgment interest at the statutory rate;

(d) disallowing under 11 U.S.C. § 502(d) any claim held by Defendant against the Debtor or the estate until Defendant pays the amount for which it is liable under 11 U.S.C. § 550;

(e) awarding the Trustee his costs of suit; and

(f) granting such other and further relief as the Court deems just and proper.

Dated: October 14, 2026

Respectfully submitted,
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